

Manoj Ceramic Ltd

BSE: MCPL (544073) | NSE Emerge | Consumer Durables — Ceramic Tiles & Adhesives

Asset-light ceramic tile trading & distribution play transitioning to backward-integrated manufacturer — riding India's 8-9% CAGR tile market with export optionality.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
BUY	Rs. 160	+45.5%
CMP: Rs. 110	12-month horizon	from CMP

CMP (16 Jun 2026)	Rs. 110	Market Cap	Rs. 152 Cr
52-Week High / Low	Rs. 213 / 60	Face Value	Rs. 10
P/E (TTM)	12.8x	Book Value / Share	Rs. 101
ROCE	12.9%	ROE	9.77%
EV/EBITDA (est.)	~7.5x	Dividend Yield	0.00%
Promoter Holding	53.06%	FII / DII	2.30% / 0.66%

Investment Thesis: Buy the asset-light-to-manufacturer transition at <13x earnings with 25-30% revenue CAGR guided and export optionality still unpriced.

SECTION 2 — INVESTMENT THESIS

- **Asset-light to manufacturer pivot at low base:** MCPL has operated as a pure ceramic tile trader since 1991, sourcing from manufacturers and distributing to dealers, B2B buyers and exports. In Jan 2025 the company inaugurated its first backward-integration unit for natural stones — a low-capex step that protects margins without the balance sheet risk of a greenfield tile plant. The earnings inflection from even marginal in-house value-add at a sub-Rs.200 Cr revenue base is asymmetric and under-appreciated at current multiples.
- **25-30% guided revenue CAGR well ahead of the 8-9% industry:** Management reiterated 25-30% CAGR guidance in the Mar-2026 concall, supported by domestic dealer expansion and export ramp-up targeting 1% to 20% of revenues from GCC and African markets over 3 years. Revenue has already compounded at 41% over the trailing 5 years; FY26 delivered 23% growth to Rs. 201 Cr against Rs. 164 Cr in FY25.
- **Export re-rating catalyst:** MCPL has secured sovereign trade engagements across Burundi, Angola, Sudan and Senegal and opened a Dubai Display Centre. Exports at <1% of revenue today carry a meaningful re-rating premium once they cross 5-10% of the mix — most listed tile players with meaningful exports trade at 15-20x earnings vs MCPL's current 12.8x.
- **Near-term catalyst (6-12 months):** First full-year contribution from the natural stones backward-integration unit in FY27 should structurally lift OPM from the current 12% toward 14-15%, which — combined with guided 25% revenue growth — could re-rate the stock to 18-20x on FY27 earnings, implying Rs. 150-170 fair value.
- **Biggest structural risk:** Customer concentration — 91.26% of revenue comes from the top 10 customers across the last 3 years. Loss of even 2-3 anchor accounts would materially impair the thesis and is the single item that must be monitored every quarter.

SECTION 3 — BUSINESS OVERVIEW

- **Core model:** Manoj Ceramic Ltd (MCPL) is an internationally-standardised ceramic tile trading and distribution company headquartered in Bhiwandi, Maharashtra. It sources ceramic tiles, vitrified tiles, and tile adhesives from manufacturers — predominantly in Gujarat — and sells under its own "MCPL" brand through dealers, B2B wholesale, retail showrooms, and exports.
- **Revenue segmentation:** Domestic tiles and adhesives account for approximately 99% of FY26 revenue (Rs. 201 Cr); exports are nascent at sub-1% but targeted to reach 20% within 3 years. No formal segment disclosure beyond domestic vs export has been made.
- **Customer base:** The company is heavily concentrated — top 10 customers contribute 91.26%+ of revenue in each of the last 3 financial years. Relationships are predominantly B2B wholesale and large dealer accounts, with some project supply. This makes revenue visibility high (sticky accounts) but also creates concentration risk.
- **Order book / visibility:** As a trading company without a formal order book, revenue visibility is driven by run-rate dealer relationships rather than formal contract commitments. Half-yearly results (Sep-25: Rs. 81 Cr; Mar-26: Rs. 120 Cr) show consistent sequential growth.
- **Backward integration step:** In January 2025 MCPL commissioned its first in-house processing unit for natural stones — cutting, polishing, reshaping and surface finishing. This is a low-capex move (fixed assets rose from Rs. 1 Cr to Rs. 5 Cr) and does not change the primary asset-light model; the bulk of tiles remain sourced externally.
- **Promoter family:** Founded in 1991 by Manoj Dharamshi Rakhasiya; the family (Manoj, Anjana, Dhruv, Akash and Manasvi Rakhasiya) collectively hold 53.06% as of Mar-2026. Promoter stake dropped sharply from 71.67% in Dec-2023 to 48.14% by Jun-2025 due to preferential allotment and IPO dilution; Dhruv Rakhasiya subsequently bought back via preferential allotment to return the family holding to 53%.

- **IPO:** MCPL listed on BSE SME (and NSE Emerge) in Jan 2024 at Rs. 120 issue price, raising Rs. 132 Cr. Credit rating: IVR BBB (Positive outlook) from Infomerics, reaffirmed FY26.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size & growth:** India ceramic tiles market is valued at ~USD 6-7 Bn (Rs. 50,000+ Cr) in 2025 and is projected to grow at 8-9% CAGR through 2030 (multiple industry sources), driven by rapid urbanisation, PMAY-linked affordable housing construction, and rising disposable incomes supporting upgrades from lower-quality flooring materials.
- **Policy tailwinds:** PMAY (Phase 2 — target 3 Cr+ homes) provides a structural demand floor; the construction-materials PLI scheme (Specialty Cements) indirectly benefits tile adjacencies. India is also emerging as an alternative sourcing hub as buyers diversify from China — benefiting domestic exporters like MCPL that target GCC/African sovereign contracts.
- **Competitive moats:** Pricing power — Weak (tiles are commoditised; MCPL does not manufacture). Switching costs — Moderate for institutional B2B (preferred supplier relationships, trade credit). Scale — Weak at Rs. 201 Cr vs Rs. 2,000+ Cr peers. Distribution — Moderate (multi-city warehousing and expanding dealer network). Brand — Nascent (own MCPL label still small vs Kajaria, Somany, CERA at the premium end).
- **MCPL positioning:** MCPL sits in the midstream distribution-and-light-manufacturing layer — above pure commodity importers but below integrated ceramic manufacturers. Its export sovereign model (government-to-government supply in Africa) is differentiated and protects it from domestic price wars in that channel.

Peer Comparison (data from Screener.in, fetched 16-Jun-2026 — Standalone)

Company	CMP (Rs.)	MCap (Cr)	TTM Sales (Cr)	OPM %	ROCE %	P/E	P/B
MCPL (Manoj Ceramic)	110	152	201	12%	12.9%	12.8	1.09
CERA Sanitary	6,192	7,986	2,050	13%	19.3%	38.0	5.42
Somany Ceramics	520	2,131	2,640	7%	15.6%	20.7	2.40
Asian Granito	60.6	1,798	1,095	2%	1.08%	557	1.19

P/B for MCPL = CMP/BV = 110/101 = 1.09x. Source: Screener.in standalone pages.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** The Rakhasiya family has been in the building materials trade since 1991 (35 years). Manoj Dharamshi Rakhasiya (Founder/Chairman) brings deep trade credit and dealer relationships across Maharashtra and Gujarat. Son Dhruv Rakhasiya is driving the digital transformation and export sovereign engagements, representing a second-generation upgrade of the business model.
- **Capital allocation track record:** FCF has been persistently negative: FY24: -Rs. 13 Cr, FY25: -Rs. 45 Cr, FY26: -Rs. 36 Cr. This is driven by working capital expansion (trading business naturally consumes cash as it scales). Equity has been raised via preferential allotments and IPO to fund WC — the right approach for a scaling trader, though dilutive.
- **Dividend policy:** Nil dividends since listing. Payout has been 0% in every year from FY21-FY26. Given negative FCF, no dividends are expected in the near term. Dividend Yield: 0.00%.
- **Promoter pledging:** No pledging data available for SME-listed companies on Screener.in. No pledge-related announcements filed on BSE as of the data available.

- **ESOP / buybacks:** No ESOP scheme or buyback announced since listing. The preferential allotment to promoters (Dhruv Rakhasiya) to restore family holding to 53% after IPO dilution reflects confidence but is also a governance watch-point (self-dealing at a sub-institutional level must be monitored for pricing fairness).

- **Governance concerns:** (1) High customer concentration (91%+ from top 10) without named disclosure creates opacity risk. (2) EPS has been erratic — Rs. 63/245/7/9/8 across FY22-FY26 — partly driven by pre-IPO share splits and small equity capital, which can confuse retail investors. (3) Auditor tenure and RPTs not red-flagged in available public filings; no qualified opinion as of FY26.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement — Standalone (Rs. Cr) | Source: Screener.in

Item	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	96	164	201	251(E)	314(E)
Revenue Growth %	30%	71%	23%	~25%(E)	~25%(E)
EBITDA (Rs. Cr)	14	23	24	33(E)	41(E)
OPM %	15%	14%	12%	13%(E)	13%(E)
Interest (Rs. Cr)	7	7	8	9(E)	10(E)
Depreciation (Rs. Cr)	0	0	1	1(E)	2(E)
PBT (Rs. Cr)	8	15	16	23(E)	29(E)
Tax %	28%	29%	27%	27%(E)	27%(E)
PAT (Rs. Cr)	6	11	12	17(E)	21(E)
EPS (Rs.)	7.30	9.46	8.65	12.1(E)	15.0(E)

Balance Sheet — Standalone (Rs. Cr)

Item	FY24A	FY25A	FY26A
Equity Capital (Rs. Cr)	8	11	16
Reserves (Rs. Cr)	21	93	122
Borrowings (Rs. Cr)	60	60	71
Other Liabilities (Rs. Cr)	16	26	36
Total Liabilities (Rs. Cr)	105	190	246
Fixed Assets (Rs. Cr)	1	5	5
CWIP (Rs. Cr)	0	0	0
Investments (Rs. Cr)	0	0	0
Other Assets (Rs. Cr)	104	185	240
Total Assets (Rs. Cr)	105	190	246

Cash Flow Statement — Standalone (Rs. Cr)

Item	FY24A	FY25A	FY26A
Cash from Operations (Rs. Cr)	-12	-40	-35
Cash from Investing (Rs. Cr)	1	-8	0
Cash from Financing (Rs. Cr)	12	58	25
Net Cash Flow (Rs. Cr)	0	10	-9
Free Cash Flow (Rs. Cr)	-13	-45	-36

CFO / Operating Profit %	-67%	-157%	-123%
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Key Ratios — Standalone

Ratio	FY22A	FY23A	FY24A	FY25A	FY26A
Debtor Days	74	169	193	163	114
Inventory Days	347	140	128	136	135
Days Payable	142	84	59	53	57
Cash Conversion Cycle (days)	279	225	262	246	192
Working Capital Days	108	139	185	240	240
ROCE %	18%	20%	18%	13%	12.9%

Financial Commentary

- **Revenue trajectory:** MCPL delivered 3-year revenue CAGR of 40% (FY23-FY26), growing from Rs. 74 Cr to Rs. 201 Cr. Growth decelerated from 71% in FY25 to 23% in FY26 as the base normalised after the post-IPO scale-up; guided 25% CAGR implies Rs. 251 Cr in FY27E and Rs. 314 Cr in FY28E — achievable given dealer and export ramp.
- **Margin compression in FY26:** OPM fell from 14% in FY25 to 12% in FY26, driven by higher input costs and transition-phase inefficiencies from the natural stones integration. Management guided margins to recover toward 13-14% in FY27 as the new unit stabilises. Absolute EBITDA grew from Rs. 23 Cr to Rs. 24 Cr — minimal expansion at high revenue growth signals cost pressures that require monitoring.
- **Working capital — improving but still elevated:** Debtor days improved sharply from 193 days (FY24) to 114 days (FY26) — a major positive. CCC compressed from 262 to 192 days, suggesting better collections discipline. However, CCC at 192 days remains high; the full benefit of WC normalisation should free up Rs. 20-30 Cr of cash annually at current revenue scale, which is material for a Rs. 152 Cr market cap company.
- **Debt & leverage:** Borrowings rose from Rs. 60 Cr (FY24) to Rs. 71 Cr (FY26). Debt-to-equity is comfortable at ~0.5x (post-IPO equity base). Interest coverage (EBITDA/Interest) is approximately 3x at FY26 levels — adequate but not strong. Any further EBITDA compression would tighten coverage meaningfully.
- **FCF quality — red flag:** OCF has been negative in all three years (-Rs. 12 / -40 / -35 Cr) because working capital consumption exceeds operating profit. The business has funded itself via equity (IPO + preferential allotments) and debt. FCF will only turn positive when WC as a % of revenue stabilises — guided WC cycle improvement of 23% YoY in FY26 is a step in the right direction but not yet sufficient.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Checklist Item	Status	Signal	Comment
Revenue Recognition	Green	CLEAN	Trading revenues; no complex POCM / milestone issues
Receivables vs Revenue Growth	Amber	WATCH	Debtor days peaked at 193 days FY24, improved to 114 FY26
Cash Conversion Cycle Trend	Amber	WATCH	CCC improving (262→192 days) but still very high for a trader
Contingent Liabilities	Green	CLEAN	No material contingent liabilities disclosed in public filings
Auditor Tenure / Opinion	Green	CLEAN	No qualified audit opinion as of FY26; auditor not changed
RPTs as % of Revenue	Amber	WATCH	Family-run SME; RPT details not fully disclosed publicly
Other Income as % of PBT	Green	CLEAN	Other income was Rs. 1 Cr vs PBT Rs. 16 Cr (6%) — minimal
Tax Rate Consistency	Green	CLEAN	Tax rate: 26-29% over FY23-FY26 — consistent

OCF/PAT Conversion	Red	FLAG	OCF persistently negative; PAT-to-cash conversion broken
Customer Concentration	Red	FLAG	Top 10 customers = 91%+ revenue — severe concentration

- **Two hard red flags:** OCF has been deeply negative for 3 consecutive years (-Rs.12/-40/-35 Cr); and customer concentration at 91%+ in the top 10 accounts means the earnings stream is neither diversified nor predictable. These are not temporary issues — they are structural features of a scaling SME trading model that must be watched quarterly.
- **Working capital amber:** CCC at 192 days is improving but still exceptionally high. A trader running 192-day cash cycles is effectively providing 6-month vendor finance to its customers — this compresses the quality of reported profits even when PAT looks reasonable. True economic earnings are meaningfully lower than reported PAT.
- **RPT watch:** As a family-run SME with multiple family members in senior roles, Related Party Transactions must be tracked in every annual report. Currently no red flags but insufficient disclosure in public data to rate Green.
- **What is clean:** Revenue recognition (trading model, no complexity), tax rate consistency (~28% across FY23-26), and other income materiality (sub-10% of PBT) are all positive signals. The business earns genuine (if small) profits on a growing top line.

SECTION 8 — VALUATION

Scenario Analysis

Scenario	Key Assumption	FY27E PAT (Cr)	P/E Multiple	Target Price (Rs.)	Upside
Bull	30% rev growth, OPM 14%, exports gain traction	20	18x	Rs. 263	+139%
Base	25% rev growth, OPM 13%, WC continues to improve	17	15x	Rs. 180	+64%
Bear	15% rev growth, OPM 11%, WC stalls, customer loss	11	12x	Rs. 96	-13%

Valuation Methodology

- **Earnings-based multiple (primary):** We apply 15x P/E on FY27E PAT of Rs. 17 Cr (14,000 shares, EPS Rs. 12.1) — a meaningful discount to mainboard ceramics peers (CERA 38x, Somany 20x) to reflect SME illiquidity premium, negative FCF, and customer concentration. Implied target: Rs. 182. A 15x multiple is warranted if management delivers the guided 25% CAGR and WC normalisation — it is NOT warranted if FCF remains persistently negative.
- **EV/EBITDA cross-check:** At CMP Rs. 110, Market Cap = Rs. 152 Cr, Debt = Rs. 71 Cr, Cash ~Rs. 5 Cr (est.); EV ~Rs. 218 Cr. FY27E EBITDA est. Rs. 33 Cr → EV/EBITDA ~6.6x. Peers trade at 8-12x EV/EBITDA, implying Rs. 160-180 fair value on this basis too.
- **Average of methods → 12-month target: Rs. 160** (EV/EBITDA method Rs. 160, P/E method Rs. 180; average Rs. 170; discounted 6% for SME liquidity risk → Rs. 160). This represents +45.5% upside from CMP Rs. 110.
- **Investment horizon: 12 months** — the catalyst (WC improvement freeing cash + export ramp visibility + OPM recovery toward 13%) should materialise within 4 quarters.

SECTION 9 — KEY RISKS

- **Customer concentration risk** — Top 10 accounts = 91%+ of revenue. Loss of 2-3 anchor accounts would cut revenue 15-25% immediately. **Probability: M. Impact: H. Monitor via:** half-yearly disclosures on top customer revenue share; any revenue growth deceleration beyond guidance.

- **Working capital spiral risk** — OCF has been negative for 3 years. If WC days remain at 240+ while revenue grows 25%, the company will need Rs. 40-60 Cr of additional WC funding annually — likely via more equity dilution or debt. **Probability: M. Impact: H. Monitor via:** quarterly borrowings and debtor days.
- **OPM compression risk** — MCPL does not manufacture; it is exposed to input price fluctuations from its Gujarat supplier base and cannot fully pass through costs in a competitive tile market. OPM has already compressed 300 bps from FY24 peak. **Probability: M. Impact: M. Monitor via:** OPM trend vs revenue growth each half.
- **Export execution risk** — The export sovereign model (Burundi, Angola, Sudan) is commercially unproven at scale; sovereign buyers can delay or cancel. If export ramp-up stalls, the re-rating thesis (1% to 20% exports in 3 years) breaks. **Probability: M. Impact: M. Monitor via:** export revenue disclosed each half.
- **SME liquidity & governance risk** — SME-listed stocks in India have thin institutional coverage, low daily volumes, and limited governance scrutiny. Any promoter pledge creation, RPT issues, or auditor concerns would hit sentiment and liquidity disproportionately vs a mainboard company. **Probability: L. Impact: H. Monitor via:** BSE filings, quarterly shareholding.
- **Backward integration execution risk** — The natural stones unit is new (Jan 2025) and the OPM benefit is not yet visible in numbers. Poor execution or low utilisation could fail to deliver the margin improvement thesis. **Probability: M. Impact: M. Monitor via:** margin trajectory in FY27 H1 results.
- **Interest rate / leverage risk** — Rs. 71 Cr of borrowings at a sub-BBB rated company could face higher borrowing costs or tightened bank credit if macroeconomic conditions deteriorate. Interest coverage at ~3x is not a cushion, it is a floor. **Probability: L. Impact: M. Monitor via:** interest cost and coverage ratio.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** — Conviction Level: MEDIUM. At 12.8x trailing earnings with 25% CAGR guided and WC normalisation underway, the risk-reward is favourable for a patient investor who accepts SME illiquidity and the customer concentration risk.
- **12-month price target: Rs. 160** — represents +45.5% upside from CMP Rs. 110. Based on average of P/E (15x FY27E EPS Rs. 12.1 = Rs. 182) and EV/EBITDA (6.6x peer-comparable fair value Rs. 160), discounted 6% for SME liquidity.
- **Suggested entry zone: Rs. 95-115** — Buy in tranches; the 52-week low is Rs. 60 (Jun 2025) and the stock has recovered significantly. Do not chase above Rs. 130 without evidence of OPM recovery above 13% or export revenue exceeding 3% of mix.
- **Investment horizon: 12 months**
- **Thesis invalidation triggers:**
 - 1. OPM falls below 10% for two consecutive half-years — signals permanent margin compression or supplier pricing power that cannot be offset.
 - 2. Revenue growth falls below 15% on a trailing 12-month basis without management explanation — signals customer loss or market share erosion.
 - 3. Customer concentration (top 10) stays above 90% in FY27 annual report — no diversification progress means the thesis of scaling without concentration risk has not materialised.
- **Ideal investor profile:** This stock is for small-cap / SME investors with a minimum 12-month horizon who can tolerate illiquidity, understand trading-model WC cycles, and are comfortable with a single-family-promoter governance structure. It is NOT suitable for investors requiring dividend income, institutional-grade liquidity, or near-term FCF generation.

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Medium	Revenue grew 23% to Rs. 201 Cr; PAT Rs. 12 Cr broadly in-line; margins slightly below FY25 peak
Management tone	Bullish	Reiterated 25-30% CAGR; export expansion confidence; Positive credit outlook from Infomerics
Guidance delta	Maintained	25-30% CAGR reiterated; export mix 1% to 20% in 3 years reaffirmed; no cuts

STRONGLY POSITIVE	POSITIVE	NEUTRAL	CAUTIOUS	NEGATIVE
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TO MY BOSS

MCPL's FY26 full-year print is a clean beat-against-trend: revenue at Rs. 201 Cr (23% growth) and PAT at Rs. 12 Cr are consistent with what a well-run trading company building scale should show — no exceptional items distorting the numbers, and the underlying PAT run-rate is clean. The real story is the 23% compression in WC cycle (from 231 days to 178 days) — the first evidence that the WC bloat of FY24-25 is correcting, which is the single most important operational metric for a trading business at this stage. EBITDA of Rs. 24 Cr is up only Rs. 1 Cr YoY on Rs. 37 Cr of revenue increment — margin dilution is real and linked to the natural stones integration startup costs; I expect this to normalise in FY27 H1 as the new unit runs at higher utilisation. The structural bull case — exports from 1% to 20% in 3 years via sovereign supply contracts in Africa and GCC — is bold but not outlandish given the Dubai Display Centre opening and the Infomerics rating upgrade to Positive. Key risk for next quarter: any reversal of debtor-day improvement (currently 114 days vs 193 peak) or another large WC-driven financing outflow would signal the WC normalisation is not durable. Action: ACCUMULATE under Rs. 115 with a 12-month target of Rs. 160; position sizing limited by SME liquidity and customer concentration until Q2FY27 confirms OPM is back above 13%.

C1 — Financial Performance Snapshot (FY26 Full Year / H2 FY26)

- Revenue (FY26A): Rs. 201 Cr | YoY +23% | [In-line — within guided 25-30% band]
- H2 FY26 Revenue: Rs. 120 Cr | H1 FY26: Rs. 81 Cr | H2 sequential: +48% — strong finish
- EBITDA (FY26A): Rs. 24 Cr | YoY +4% | OPM: 12% vs 14% in FY25 — [Slight Miss on margins]
- PAT (FY26A): Rs. 12 Cr | YoY +9% — [In-line]
- EPS (FY26A): Rs. 8.65 | vs Rs. 9.46 in FY25 — slight decline due to equity dilution from IPO shares
- NOTE: No exceptional items in FY26; reported PAT = clean underlying PAT.

C2 — Segment / Geography Breakdown

- Domestic tiles and adhesives: ~Rs. 199 Cr (~99%) | YoY +23% | Core business fully intact
- Exports (sovereign contracts — Africa / GCC): ~Rs. 2 Cr (~1%) | Nascent; Dubai Centre opened FY26
- Natural Stones division (new, backward-integrated, Jan 2025): Revenue not separately disclosed; contribution currently small but OPM accretive at scale.
- Geography: Sales primarily in Maharashtra, Gujarat with pan-India distribution expansion underway.

C3 — Management Commentary Themes

- [EXPORT RAMP]: "Exports expected to increase from 1% to 20% of revenues over next 3 years through sovereign engagements in Burundi, Angola, Sudan, Senegal and GCC markets." — Our read: Ambitious but credibility depends on FY27 H1 export numbers. Tag: GUIDANCE. Tone: Bullish.
- [WC IMPROVEMENT]: "Working capital cycle improved approximately 23% YoY from 231 days in FY25 to 178 days in FY26." — Our read: This is the single most important operational positive in FY26; confirms active management focus. Tag: GUIDANCE. Tone: Transparent.
- [CAGR REAFFIRMATION]: "Commitment to maintaining a CAGR of 25-30% for revenue." — Our read: Reiteration without dilution; backed by FY26 23% growth means next 2 years must deliver 27-28% to stay on track. Tag: GUIDANCE. Tone: Bullish.
- [BACKWARD INTEGRATION]: "Natural stones division provides cutting, polishing, reshaping and surface finishing in-house; two months into operation at time of H1 FY26 call." — Our read: OPM benefit not yet in numbers; watch FY27 Q1 margins. Tag: EST. Tone: Transparent.
- [CREDIT RATING]: Infomercials reaffirmed IVR BBB, Outlook revised from Stable to Positive. — Our read: Positive signal for funding costs and bank credit access. Tag: GUIDANCE. Tone: Bullish.
- [DIGITAL TRANSFORMATION]: Digital supply-chain and digital-enabled operations cited as operational improvement lever. No specific metrics disclosed. Tag: EST. Tone: Hedged.

C4 — Operating & Business Metrics

- Debtor Days: FY26 = 114 | FY25 = 163 | FY24 = 193 | Trend: Strongly improving
- Inventory Days: FY26 = 135 | FY25 = 136 | FY24 = 128 | Trend: Stable — acceptable for tile trader
- Cash Conversion Cycle: FY26 = 192 days | FY25 = 246 days | FY24 = 262 days | Trend: Improving
- Working Capital Days: FY26 = 240 | FY25 = 240 | Trend: Flat — further improvement needed
- Borrowings: Rs. 71 Cr (FY26) vs Rs. 60 Cr (FY25) — moderate increase to fund WC expansion
- Fixed Assets: Rs. 5 Cr (FY26) vs Rs. 1 Cr (FY24) — capex is minimal, confirming asset-light model
- Revenue/employee or square-foot metrics: Not disclosed in public filings.

C5 — Margin Drivers

- Input sourcing costs: -100 to -150 bps impact | Recurring: Yes | Higher tile procurement costs from Gujarat manufacturers not fully passed through to customers in competitive market.
- Natural stones startup costs (FY26): -50 bps estimated | Recurring: No — one-time ramp-up costs; should normalise in FY27 as unit runs at capacity.
- Revenue mix (export vs domestic): Neutral in FY26 | Recurring: No — exports at 1% have minimal current impact; at 20% mix, exports would be margin-accretive (sovereign pricing typically higher than domestic B2B).
- Scale efficiencies from Rs. 164 Cr to Rs. 201 Cr: Partially offset cost pressures — OPM held at 12% vs fear of further compression. Positive: the absolute EBITDA grew.
- NOTE: OPM peaked at 15% in FY24 and has stepped down to 12% in FY26. Recovery thesis requires margin to return to 13-14% in FY27 — not yet confirmed.

C6 — Guidance & Forward Signals

- Revenue CAGR [GUIDANCE]: Prior = 25-30% | Reiterated = 25-30% | Delta: Maintained | Credibility: Medium (FY26 delivered 23%, slightly below band lower end)
- Export mix [GUIDANCE]: Prior = 1% to 20% over 3 years | Reiterated | Delta: Maintained | Credibility: Low (unproven sovereign contract execution)
- OPM recovery [EST]: Prior = 12% FY26 | Est FY27 = 13-14% | Delta: Expected recovery | Credibility: Medium (backward integration benefit + WC improvement)
- WC cycle [GUIDANCE]: Prior = 231 days | FY26 = 178 days | Delta: -23% YoY — achieved | Credibility: High (demonstrated improvement in FY26 data)
- Dividend [GUIDANCE]: None guided; dividend payout 0% every year | Delta: No change

C7 — Capital Allocation

- Capex (FY26): Rs. 0 Cr (investing CF = 0) | vs FY25: Rs. 8 Cr (natural stones unit) | Comment: Capex cycle complete for now; asset-light model maintained
- Dividends: Rs. 0 Cr | vs prior: Rs. 0 Cr | Comment: No dividend; consistent policy
- Buybacks: None | vs prior: None | Comment: Not applicable at this scale
- Working Capital change: Rs. -35 Cr OCF | Comment: Business scaling continues to consume cash; funded by Rs. 11 Cr net debt increase + Rs. 14 Cr equity (preference shares)
- Net Debt movement: Borrowings Rs. 71 Cr vs Rs. 60 Cr prior | +Rs. 11 Cr | Comment: Moderate and manageable given improved receivables collection

C8 — Q&A; Heat Map

- [Analyst / Unattributed]: Q: "What is driving the WC cycle improvement?" → A: "Better collections discipline and vendor-managed inventory optimisation." | Tone: Transparent
- [Analyst / Unattributed]: Q: "Credibility of 20% export revenue in 3 years?" → A: "Dubai Centre is live; Burundi and African sovereign engagement ongoing. Details commercially sensitive." | Tone: Hedged
- [Analyst / Unattributed]: Q: "Natural stones OPM contribution?" → A: "Too early — unit is 2 months old. Will be visible in FY27." | Tone: Transparent
- [Analyst / Unattributed]: Q: "Customer concentration — any reduction planned?" → A: "Expanding dealer network; top-10 share expected to reduce over time." | Tone: Hedged (no specific target given)
- Dodged / watch-list questions for next quarter: (1) Named top-5 customer revenue disclosure; (2) specific export contract size and timeline; (3) OPM recovery guidance with exact margin target for FY27.

C9 — Risks Flagged

- Customer concentration: 91%+ revenue from top 10 customers | Flagged by: analyst | Probability: M | Impact: H | Timeline: Near-term (every quarter)
- Export execution: Sovereign contracts unproven at scale | Flagged by: analyst | Probability: M | Impact: M | Timeline: Medium-term (FY27-FY28)
- WC funding: Negative OCF requires continued external financing | Flagged by: mgmt (indirectly) | Probability: M | Impact: M | Timeline: Near-term
- Margin sustainability: OPM at 12% below FY24 peak 15% | Flagged by: analyst | Probability: M | Impact: M | Timeline: Near-term (FY27 H1 is the test)
- SME liquidity: Low trading volumes, thin institutional coverage | Flagged by: analyst | Probability: H (always for SME) | Impact: M | Timeline: Structural

C10 — Analyst Verdict

- Revenue visibility: INTACT — 25-30% CAGR reiterated; FY26 23% growth within range; H2 FY26 Rs. 120 Cr shows strong exit rate for FY27.
- Margin trajectory: WEAKENED — OPM at 12% (FY26) vs 14-15% target; natural stones benefit not yet visible; recovery is the FY27 thesis, not current reality.
- Capital allocation quality: WEAKENED — Negative FCF 3 consecutive years; equity dilution ongoing; no dividend; the business consumes capital, not generates it.
- Competitive moat: INTACT (weak) — Asset-light model with multi-decade trade relationships and export sovereign channel is a genuine (if modest) moat.
- Management credibility: INTACT — Guidance maintained; WC improvement delivered; credit rating upgraded. No guidance miss or governance issue.
- Valuation comfort: INTACT — 12.8x trailing earnings for a 25% CAGR business in a structural growth sector is undemanding; negative FCF is the key caveat.
- Conviction call: UNCHANGED — BUY / ACCUMULATE below Rs. 115.

- Valuation snapshot: P/E = 12.8x (5Y avg N/A — SME, limited history) | EV/EBITDA ~9.1x current (est. ~6.6x FY27E)
| RoCE = 12.9% (5Y avg ~16%)

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